2010 – ECONOMICS - I / Part –I

1.(ii)	5.(v)	9. (iv)	13.(ii)	17.(iv)
2.(v)	6.(iii)	10.(iii)	14.(iv)	18.(iv)
3.(iv)	7.(iii)	11.(iii)	15.(ii)	19.(i)
4.(i)	8.(ii)	12.(iii)	16.(ii)	20.(ii)

2010 – ECONOMICS - I / Part -II

(1) (i) Economic resources are the production factors with limited or scarce supply. There is an opportunity cost in consumption. (02 marks)

(ii) Capital in economics is production factors that are made by human. They contribute in the direct production of goods and services. Money cannot be used as an input in production. Therefore it is not considered a factor of production. Capital is a real asset but money is a financial asset. (02 marks)

(iii) Replaceable resources are the natural resources that are regenerated, can be reused and not reduced in quantity due to consumption. Non-replaceable resources are the natural resources that are not regenerated and are reduced in quantity as consumption increases. (02 marks)

(iv) -Organizes the process of production combining the factors of production in order to produce a good or service.
-Makes decisions about the mission of the business.
-Introduces novelty.
-Bears the risks. (03 marks)

(v) What is produced?
In a command economy this decision is made by the Central Planning Authority.
Market economy gives priority to profit maximization in producing goods and services. only the goods and services that are profitable.

How is produced?
In a command economy Central Planning Authority decides the production methods considering alternative production methods and current resources.

In a market economy producers use economically more efficient methods of production. Those methods are decided on the available technology and the price of the factors being used. Price mechanism provides directions in deciding efficient methods.

For whom to produce?
In a command economy, the distribution of factor income is decided by the Central Authority. Providing goods at a price that is affordable to all is a main objective of the authority.

In a market economy, income distribution is determined on the market prices and the quantity of factors being supplied. Price of each factor is determined upon the demand and supply of it.

2. (i) - Resource endowment does not change.
- Technology is unchanged.
- Production is efficient with full production and full employment.
- Only 2 goods are produced.

(ii) - Reduction in resource endowment.
- deterioration of the productivity. (03 marks)

(b) <u>Consumer Surplus before tax</u>

Market Price before tax = Rs. 80

Quantity bought before tax = Rs. 20 units.

Qd = O,

260-3Pb = O,

Pb = 260/3 = 86.67

Consumer Surplus = $\frac{86.67 - 80.00}{2}$ X 20

= 66.67 (01 mark)

Market Price after tax = Rs. 82

Quantity bought after tax = 14 units

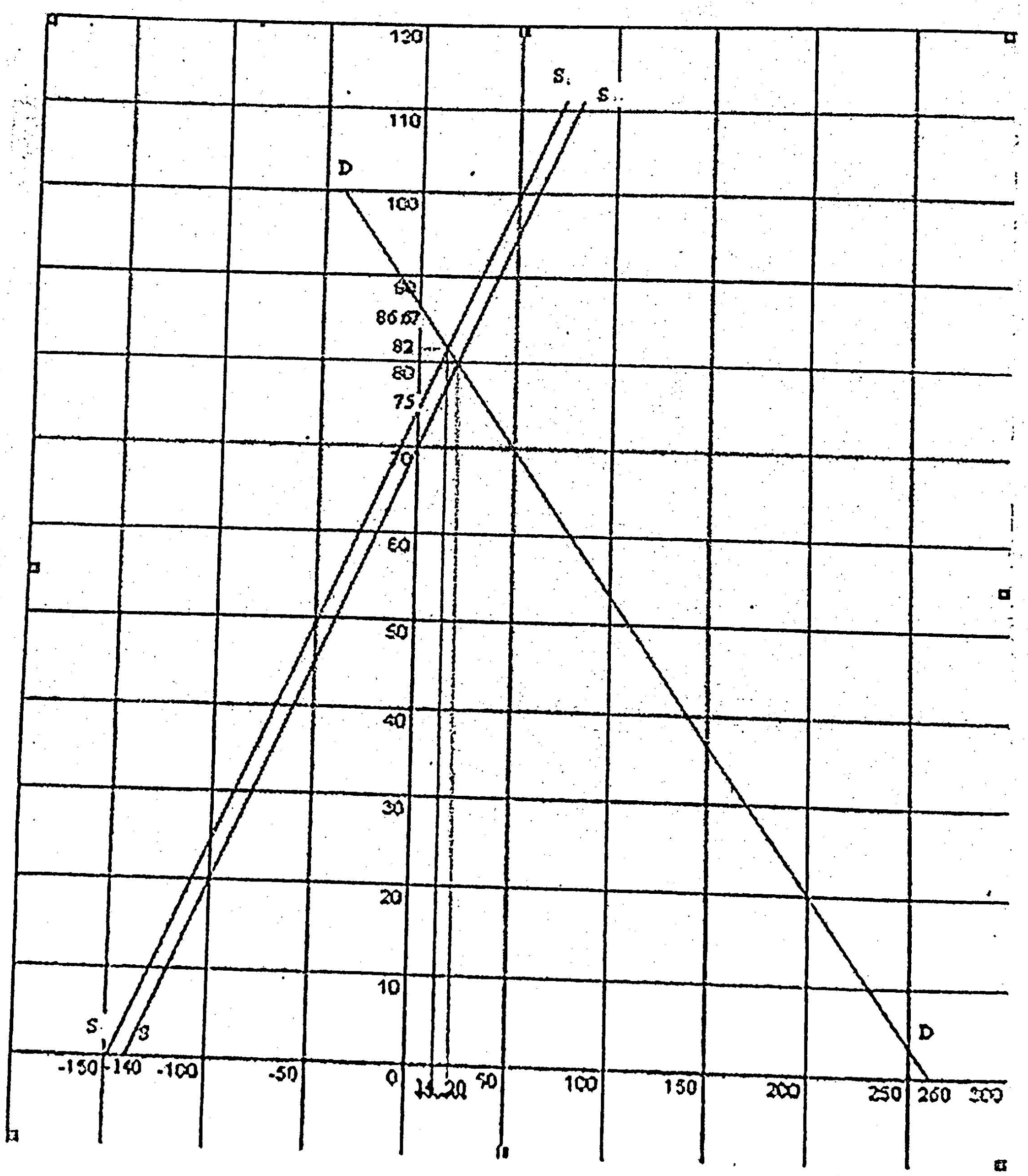
Pb = 86.67

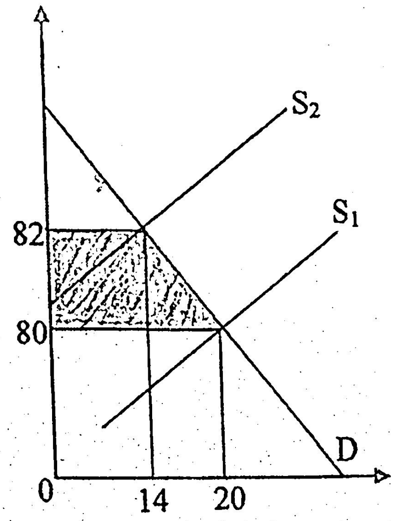
Consumer Surplus = $\frac{86.67 - 82.00}{2}$ X 14

The change of the consumer surplus

= 66.67 – 32.62 = 34.04

(02 marks)





The change of the consumer surplus can also be found using the above diagram. The area of the coloured trapezium = the change of the consumer surplus.

$= (14 \times 2) + \frac{6 \times 2}{2} \quad = 28 + 6 = 34$ (04 marks)

4. (i) Production surplus refers to the change in the market price and the minimum supply price. (=marginal cost). At the market equilibrium, total production surplus = Total Revenue – Total Variable Cost.

- economic Profit is the difference between the total revenue and the total cost.
- Therefore the difference between the production surplus and the economic profit is the amount of total fixed cost. (02 marks)

(ii)
- When the variable inputs are used more and more with one fixed input during the short run production process, after a certain point of production both marginal production and the average production of the variable input start to diminish. This is referred to as diminishing returns. (01 mark)
- When all the inputs of the production process are increased by a certain percentage during its long term production process and the output is increased at a rate less than the rate of increase in input, the situation is referred to as decreasing economies of scale. (01 mark)

(iii) If one firm in the industry has the ability to supply a certain good at a lower price for the whole market than can be supplied by any other 2 or more firms, the firm is said to have a natural monopoly over the supply of that particular product. (02 marks)

(iv) If a firm cannot influence on the market price and agrees to sell at the same current price, that firm is referred to as a price taker. Firm in the perfectly competitive markets behave as price takers. As one firm produces only a very little quantity of homogeneous goods that are sold in the total market, the firm cannot make any influence on the market price. (02 marks)

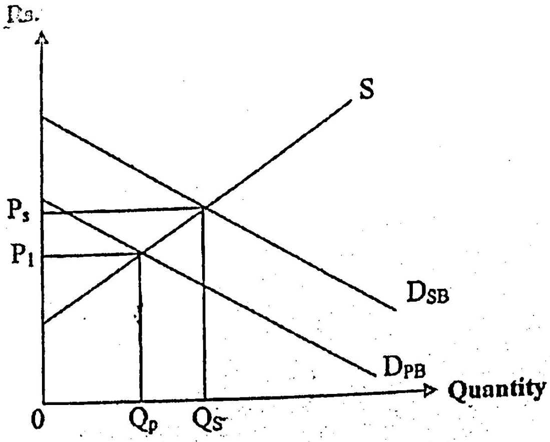
(02 marks)

(v) a) 15 Units

b) Loss/profit at that price.

Total Revenue = 40 X 15 = 600
Total Cost = 65 X 15 = 975
Loss = 600 – 975 = - 375 (03 marks)

c) Firm's total fixed cost = Total Cost - total variable cost.
TVC = TC - TVC
When the output = 10 units
TC = 85 X 10 = 850
TVC = 30 X 10 = 300
Total Fixed Cost = 850 – 300 = 550 (02 marks)



(iv) a) Museums, Swimming Pools, Parks, Libraries, Concerts, Musical Shows, Sports Complex.

b) Forests, marine resources, underground water resources.

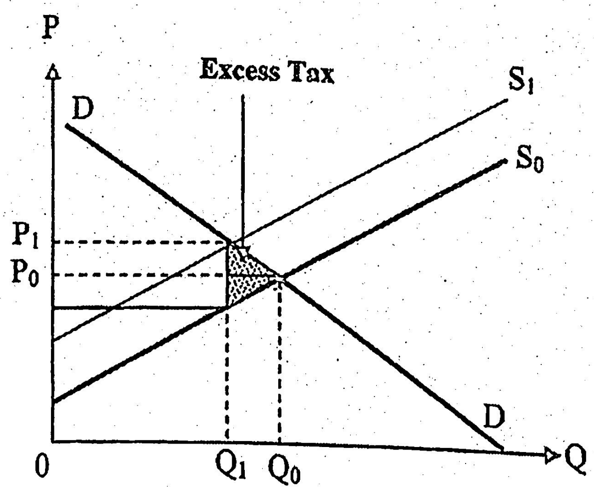
c) National Security, Street Lighting, Colour light signals, Ozone layer, financial system stability.

(v) - Political Self-interest
- Policy myopia
- Politicization
- Bureaucracy
- Corruption
- Rigidities
- Delays in decision making
- Large administrative costs. (02 marks)

8. (i) When tax is imposed an equal proportion of tax is imposed on the people with equal level of economic status. This is referred to as horizontal equity. (01 mark)

- Imposing different rates of tax on the people in different economic situations is implied by the vertical equity concept. (02 marks)

(ii) The concept of excess tax burden is used to express the consequences on economic surplus that take place as a result of the tax. The amount of the surplus lost by the consumers and the producers as a result of the tax is greater than the tax collected by the government. (04 marks)



(iii) –Property income
- Profits of the Central Bank
- Interest income
- Profit of government enterprises.
- Sales income.

(04 marks)

(iv) - Expenditure on goods and services.
- Interest Payments.
- Current transfers and subsidies.

(03 marks)

(v) Appropriation Bill is the document put forward for the parliament approval in order to get the approval for government expenses, tax collections and borrowings in the new financial year. (This is the statutory mechanism by which parliament authorizes the government to incur expenses and capital expenditure). After this Bill is passed, it is referred to as the Appropriation Act. (01 mark)

Under special circumstances, if it is impossible to put forward the new appropriation bill at the parliament, until the bill is forwarded, an interim budget is prepared so as to obtain money from the consolidated account to run the government departments and to meet the government expenses. (01 mark)

2010 – ECONOMICS - II / Part –I

1.(iv)	5.(iv)	9.(i)	13.(ii)	17.(iii)
2.(iv)	6.(iv)	10.(v)	14.(ii)	18.(v)
3.(v)	7.(iv)	11.(iii)	15.(v)	19.(iii)
4.(iii)	8.(i)	12.(ii)	16.(ii)	20.(iv)

2010 – ECONOMICS - II / Part -II

(1) (i) Velocity of circulation (V)

$$V = \frac{PT}{M}$$

(01 mark)

$P = 4, T = 3000, M = 1500$

$$V = \frac{4 \times 3000}{1500} = 12000/1500 = 8$$

(01 mark)

$V = 8$

(ii) Exchange equation (01 mark)

$MV = PT$

Based on the hypothesis that V and T stay constant it is possible to describe that there is a close relationship between the growth in the quantity of money and the inflation. If V and T are unchanged P changes proportionately to the change in M. (01 mark)

(iii)- M_2 or broad money supply consists of currency held by the public, demand deposits and the savings and time deposits held by the commercial banks. (02 mark)

M_2b or consolidated broad money supply consists of M_2, 50% of the savings and time deposits of Non-Residents' Foreign currency Accounts (NRFC) and the balances of the Residents' Foreign currency Accounts (RFC) in foreign currency Banking Units. (02 marks)

(iv) The change in money supply has an influence on the aggregate demand through the impact made on the interest rate.

If financial authority increases the money supply, the interest rate decreases. At that point, the components of the aggregate demand that are sensitive to the interest rate are encouraged. Then the aggregate demand is expanded. (02 marks)

When the money supply is contracted, the interest rate is increased. Then the private investment and the demand for durable consumer goods are discouraged. This causes the contraction in aggregate demand. (02 marks)

(v) There is a direct relationship between the interest rate and the demand for money. Speculators expect that the interest rate may decrease in the future when the interest rate increases at present. If the interest rate decreases, the price of the financial assets may increase. Similarly speculators expect that the interest rate increase in the future even if it is decreased at present. On that occasion, people tend to hold money with them. Money as an asset has a higher demand when the interest rate is low. (03 marks)

2. (i) -Accepting money deposits of the general public.
- Issuing loans
- Providing services of agencies and investment banks.

6. i). - Economic growth is a persistent growth in the real or potential output in a country. (01 mark)

- Development is a process that can increase the quality of the standard of living of the people. (01 mark).
- Development should emphasize on improving the quality of the standard of living and social, economic and political environment that supports increasing the self esteem of the people. (01 mark).
- Economic growth is an essential but not a sufficient factor of economic development. (1 mark).

ii). Reducing gender inequality in accessing secondary and tertiary education.

- Reducing child mortality rate.
- Reducing mortality from Malaria.
- Reducing the percentage of households with poor access to clean drinking water.
- Reducing the percentage of households with poor access to sufficient level of sanitary facilities.

iii). - Decreasing productivity of local agricultural industry.

- Effective competencies that are suitable for the labour market are not being developed due to the lack of quality in education.
- Geographical isolation.
- Decreasing labour mobility in the estate sector.
- Unavailability of sufficient level of infrastructure facilities.
- Underemployment and hidden employment.
- Inefficiency in the poverty eradication programmes in the government.
- Poor growth in the entrepreneurship.
- Drug addiction.
- Long lasting war and conflict environment that existed in the country.
- Centralized growth mechanism in urban cities. (4 marks).

iv). – Samurdhi programme that transfer income for poor and extreme poor population.

- Provision of financial assistance to the families with disabled and dead members of the security forces.
- Community development programme that assist internally displaced people.
- Emergency aid provided for the people hit by natural disasters like floods/Tsunami etc.
- Provision of free school text books and uniforms to school children.
- Assistance given to the people who cannot engage in any productive activity due to mental or physical retardation/illnesses. (4 marks).

7.

i). Male population = 64.7%
Female population = 35.3% (2 marks).

ii). Dependency ratio (2006) = 48.3% or Dependency ratio (2003) = 49.3 % (2 marks).

iii). Changes in the age structure of the population.

- Decreasing child dependency ration and increasing adult dependency ratio.
- Decreasing the population that belongs to year 25 – 54 age group who also belong o the labour force. (01 mark).

- Influence of the economic growth
- As the pensionable population increases the government needs to allocate more funds for pensions thus creating deterioration in the economic growth.
- The government has to allocate more resources to provide health facilities to the elderly population.
- Capital formation is badly affected as the elderly population tends to spend their savings in large amounts.
- Economic growth is affected due to decreased household savings that occur as the dependency ratio is increased.
- When the child population is decreased there can be a contraction in the labour force. This may have a bad impact on the economic growth.
- The government has the ability to reduce the amount being spent on the education as the child population is decreased and then to use those resources in order to increase the quality of the education. This may create an increase in the economic growth. (03 marks).

iv) The non-formal sector consists of the individuals and households that produce goods and services with the use of a comparatively small amount of capital or one's own labour.

- According to the reports of Census and Statistics Department of Sri Lanka, 63.5 % of the total work force in Sri Lanka belongs to the non-formal sector.

- Non –formal sector consists of labour incentive, small scale production units that use a small amount of resources.
- Many in this sector are self employed people.
- Most activities are agricultural sector productions. 44% of the employees in the non-formal sector are from agricultural industry.
- Some engage in illegal business such as sales of alcohol and drugs. (4 marks).

v). Many of the employees are non - trained females.

- 53% of the total immigrant population consisted of females in 2007 and the majority of them were houscholds.
- Many of those immigrants belong to families with low income and poor socio economic status.
- Their remittances make a massive contribution to the economy.
- More than 10% of the immigrant female population has undergone physical and mental abuses.
- Children whose mothers have migrated can have anti social behaviours and vulnerability to be abused or to become drug addicts. (3 marks).

8). Gemi Diriya is a community participation programme that has been launched in selected districts such as Badulla, Monaragala, Galle, Matara, Hambantota, Rathnapura and Polonnaruwa in Sri Lanka.

By empowering the community and encouraging their participation in village development process, sustainable development is encouraged and poverty is minimized.
Village development is planned by community controlled village development approaches with the contributions made by the community who live in the same village.
A community organization is established and then it is registered under the Company Act of Sri Lanka.
(3 marks).

ii). -Export income will be decreased.

- Garment industry in Sri Lanka will have to face a serious competition in the European market.
- Risk is increased for the companies that have been functioning at a low profit margin.
- Employees of the above mentioned companies are at more risk to lose their jobs.
- Direct foreign investment may be discouraged due to the damage on Sri Lanka's international image.
- Sri Lankan exporters may have to find new markets for their goods. (4 marks).

iii). The reasons can be,

- Large amount of expenditure on electricity.
- Extremely limited opportunity that exists for village enterprises to access formal financial institutes.
- Restrictions to enter into provincial markets. (4 marks)
- Inefficient supply of business services in the government sector.

iv). The challenges are,

- Infrastructure development.
- Qualitative development in the education sector.
- Macroeconomic stability.
- Increasing investments in research and development areas.
- Pay more attention on small and medium scale industries.
- Diversification of the export sector. (4 marks).